

CLAIM SETTLEMENT RATIO

Claim Settlement Ratio depicts the percentage of people whose claims were settled (the amount was paid) by the insurer as compared to the total number of people who have made claims. A claim settlement ratio of 97% means that out of 100 claims made, the company rejected 3 of them. We wish to get ourselves insured with a company that rejects fewer claims than others.

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LIMITED PAY

It is a special kind of term insurance where a person pays higher premiums for the first few years and then no premiums going forward and gets covered for a fixed maturity that is relatively longer. For instance, a person may buy 20-year term insurance and pay the higher premium for the first 8 years and then no premium for the next 12 years to stay insured for 20 years.

RETURN OF PREMIUM PLANS

Return of Premium Plans is those that return premiums at the end of the entire duration of the Insurance Plan. These are only valid for multi-year Insurance schemes and the Insurance company returns premium under these plans with or without any additional interest. These are marketing gimmicks by Insurance companies. We will keep Insurance and Investment separate which we will discuss very shortly.

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SOLVENCY RATIO

Solvency Ratio of a company is its ability to meet its liabilities and financial commitments with its cash flow and assets. So, with insurance companies, the solvency ratio represents their financial ability to meet the liabilities that they have on their books. In India, insurance companies have to maintain the solvency of 15 as per IRDA. Higher the Solvency Ratio, the better it is.